

COMMITTEE ON PUBLIC SAFETY & LAW ENFORCEMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1270
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.
[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 38-867, Arizona Revised Statutes, is amended to
3 read:

4 38-867. Contributions; member; employer; pickup

5 A. Each participant in the defined contribution plan shall
6 contribute the following percentage of the participant's gross pensionable
7 compensation by salary reduction that shall be deposited in the
8 participant's annuity account:

9 1. For a participant as defined in section 38-865, paragraph 7,
10 subdivision (a), item (ii), three percent.

11 2. For a participant as defined in section 38-865, paragraph 7,
12 subdivision (a), item (i), nine percent.

13 3. For a participant as defined in section 38-865, paragraph 7,
14 subdivision (b), seven percent.

15 B. A participant as defined in section 38-865 may make a onetime
16 irrevocable election, before the participant is eligible to participate in
17 any qualified plan of the employer, to contribute more than the percentage
18 of the participant's gross pensionable compensation specified in this
19 section, up to the amount allowable under section 415(c) of the internal
20 revenue code. A participant as defined in section 38-865, paragraph 7,
21 subdivision (b) may make a onetime irrevocable election, before the
22 participant is eligible to participate in any qualified plan of the
23 employer, to contribute less than the percentage of the participant's
24 gross pensionable compensation specified in this section but may not elect
25 to contribute less than five percent of the participant's gross
26 pensionable compensation. The election made pursuant to this subsection
27 shall be the participant's contribution rate for the remainder of the
28 participant's employment.

29 C. Although designated as employee contributions, all participant
30 contributions made to the defined contribution plan shall be picked up and
31 paid by the employer in lieu of contributions by the employee. The
32 contributions picked up by an employer may be made through a reduction in
33 the participant's compensation. A participant in the defined contribution
34 plan may not choose to receive the contributed amounts directly instead of

1 the employer paying the amounts to the defined contribution plan. All
2 participant contributions that are picked up by the employer as provided
3 in this subsection shall be treated as employer contributions under
4 section 414(h) of the internal revenue code, shall be excluded from the
5 participant's gross income for federal and state income tax purposes and
6 are includable in the gross income of the participant or the participant's
7 beneficiaries only in the taxable year in which they are distributed.

8 D. Each employer shall annually make a contribution equal to the
9 following percentages of each participant's gross pensionable
10 compensation:

11 1. For a participant as defined in section 38-865, paragraph 7,
12 subdivision (a), item (ii), three percent.

13 2. For a participant as defined in section 38-865, paragraph 7,
14 subdivision (a), item (i), nine percent.

15 3. For a participant as defined in section 38-865, paragraph 7,
16 subdivision (b), five and one-half percent.

17 E. The pro rata share of the amount paid in subsection D of this
18 section shall be paid on each date that a participant contribution is made
19 and shall be credited to the participant's annuity account.

20 F. Each participant as defined in section 38-865, paragraph 7,
21 subdivision (a), item (i) and subdivision (b) and each employer shall
22 contribute:

23 1. To the public safety personnel defined contribution retirement
24 plan disability program established by article 4.2 of this chapter.

25 2. For participants who make an election pursuant to section
26 38-869, an equal amount for the group health benefits plan payments as
27 specified in section 38-869 as determined by actuarial valuations reported
28 by the board to the employer and local board, which shall be deposited in
29 a separate account established pursuant to section 38-869.

30 G. A participant's contributions and earnings on those
31 contributions are immediately vested.

32 H. A participant as defined in section 38-865, paragraph 7,
33 subdivision (a) or section 38-865.01 is fully vested in the defined
34 contribution plan after ten years of service, with employer contributions
35 vesting at a rate of ten percent per year. If a participant described in
36 this subsection dies or is determined to be eligible for an accidental or
37 catastrophic disability pension pursuant to section 38-844 before
38 completing ten years of service, the employer contributions are
39 immediately fully vested.

40 I. A participant as defined in section 38-865, paragraph 7,
41 subdivision (b) is fully vested in the defined contribution plan after
42 three years of service, with the employer contributions vesting at the
43 following rates:

44 1. Twenty-five percent after the first year of service.

45 2. Fifty percent after the second year of service.

46 3. One hundred percent after the third year of service.

1 J. If a participant as defined in section 38-865, paragraph 7,
2 subdivision (b) dies or is determined to be eligible for an accidental or
3 total and permanent disability pension pursuant to section 38-886 before
4 completing three years of service, the employer contributions are
5 immediately fully vested.

6 K. IN ADDITION TO ANY EMPLOYER CONTRIBUTION REQUIRED PURSUANT TO
7 THIS SECTION, AN EMPLOYER OF A PARTICIPANT AS DEFINED IN SECTION 38-865,
8 PARAGRAPH 7, SUBDIVISION (b) MAY MAKE A SUPPLEMENTAL CONTRIBUTION
9 INCENTIVE PAYMENT TO THE PARTICIPANT'S DEFINED CONTRIBUTION PLAN ACCOUNT
10 IF THE SUPPLEMENTAL CONTRIBUTION MEETS ALL OF THE FOLLOWING:

11 1. DOES NOT EXCEED \$5,000 PER PARTICIPANT [PER YEAR] AS DESCRIBED
12 IN THIS SUBSECTION.

13 2. IS MADE ONLY ON A SPECIFIED [YEARS OF EMPLOYMENT OR YEARS OF]
14 SERVICE INTERVAL [SUCH AS FIVE, TEN OR FIFTEEN YEARS OF SERVICE].

15 3. IS MADE EQUALLY [AS AN AMOUNT OR AS A RATE OF PENSIONABLE PAY AT
16 EACH INTERVAL AS SPECIFIED IN THIS SUBSECTION] TO ALL PARTICIPANTS OF THE
17 EMPLOYER AS DESCRIBED IN THIS SUBSECTION WHO MEET THE SERVICE REQUIREMENT
18 [AND REQUIREMENTS OUTLINED BY THE EMPLOYER'S POLICY ADOPTED PURSUANT TO
19 SUBSECTION M OF THIS SECTION].

20 4. DOES NOT REQUIRE THE PARTICIPANT AS DESCRIBED IN THIS SUBSECTION
21 TO MAKE ANY ADDITIONAL MONETARY CONTRIBUTION TO RECEIVE THE EMPLOYER'S
22 SUPPLEMENTAL CONTRIBUTION.

23 L. A SUPPLEMENTAL CONTRIBUTION MADE PURSUANT TO SUBSECTION K OF
24 THIS SECTION DOES NOT AFFECT ANY OTHER EMPLOYER OR ANY OTHER PARTICIPANT
25 WHO IS EMPLOYED BY THE EMPLOYER THAT MADE THE SUPPLEMENTAL CONTRIBUTION.
26 AN EMPLOYER WHO MAKES A SUPPLEMENTAL CONTRIBUTION PURSUANT TO SUBSECTION K
27 OF THIS SECTION IS NOT OBLIGATED TO MAKE ADDITIONAL SUPPLEMENTAL
28 CONTRIBUTIONS TO A PARTICIPANT AS DESCRIBED IN SUBSECTION K OF THIS
29 SECTION WHO HAS RECEIVED A PREVIOUS SUPPLEMENTAL CONTRIBUTION. AN
30 EMPLOYER MAY DISCONTINUE SUPPLEMENTAL CONTRIBUTION INCENTIVE PAYMENTS
31 PURSUANT TO SUBSECTION K OF THIS SECTION AT ANY TIME.

32 [M. BEFORE IMPLEMENTING AN ADDITIONAL EMPLOYER CONTRIBUTION UNDER
33 THIS SECTION, EMPLOYERS SHALL ADOPT A POLICY THAT DETAILS THE REQUIREMENTS
34 AND AMOUNTS OF THE PROGRAM OUTLINED IN SUBSECTION K OF THIS SECTION.]

35 Enroll and engross to conform

36 Amend title to conform

DAVID MARSHALL, SR.
CHAIRMAN

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